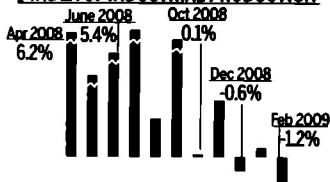




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Industrial output for February 2009 dips to -1.2 per cent as poor credit access, slowing demand and global slowdown impact India Inc.

BANK CREDIT TO COMMERCIAL SECTOR



INFLATION

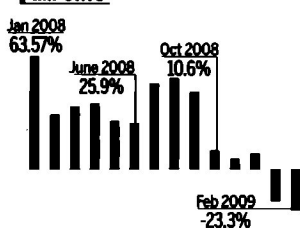


Inflation threatens to break into negative territory but prime lending rate stays pegged at over 12 per cent impacting production and consumption.

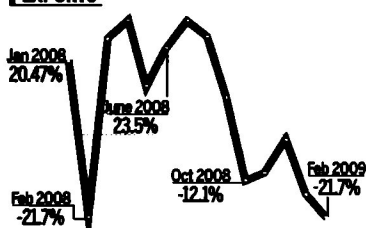
PRIME LENDING RATE



IMPORTS



EXPORTS



Cost of credit at home and liquidity crunch abroad squeeze exports while imports shrink, thanks to low crude price and demand for capital goods.

Sources: Government of India and FICCI

and cost of money. Indeed at the meeting called by the prime minister to discuss issues of protectionism at the G-20, most entrepreneurs spoke only about domestic credit problems. Driven by fears of the slowdown getting worse, defaults and rising risk aversion, banks are shying away from lending, hurting the most vulnerable small- and medium-scale industries. However, with the latest RBI rate cuts, Subbarao hopes banks will lend a slice of their surplus to revive a sagging economy. Credit though is available at sub-PLR rates to big entities who have access to cheaper funds. Notwithstanding near-zero per cent inflation, the Government is borrowing at close to 7 per cent (10-year government paper is at the range of 7 per cent) and corporates at 12.5 per cent. This disconnect between circumstance and need is fuelling pessimism.

Mercifully, there is a pause in the spate of bad news, triggering a feel-good lull. But for the feel-good factor to translate into real gains, interest rates have to come down. FICCI President Harshpati Singhania finds it particularly worrisome that despite inflation touching zero and the RBI slashing major policy rates, the real interest rate is in double-digits.

"Banks must lower rates to single-digit levels if economic activity is to be stimulated," says Singhania.

That could be a while away. Despite enough liquidity infusion, only a handful of banks have passed on the benefits of policy cuts to end-users. As reflected in the balance sheets, non-food credit has dropped from Rs 4,32,846 crore in 2007-08 to Rs 4,06,287 crore in 2008-09. Punjab National Bank Chairman K.C. Chakrabarty is among those who agree on the need to generate domestic demand, but not many are willing to walk the talk on improving availability of finance. High cost of credit

since October 2007 has successfully pulled down demand but now high interest rates have driven EMIs high and consumers are left with little to spend. Now as low inflation makes it conducive for banks to offer cheaper credit, industry is keen to see consumers back in malls and showrooms.

Fact is, industry can make investments only if there is purchasing power. But with that on hold due to persisting high interest rates, consumption is slowing down, which is affecting investment demand. At the retail end, consumer goods makers stuck with inventories are trying out new financial solutions. Auto major